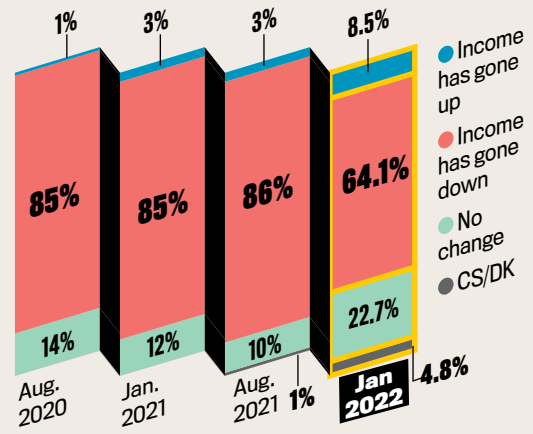


HUNTING OMICRON Health workers take swab samples at Mumbai's Chhatrapati Shivaji Maharaj Terminus on December 16

one could argue that nothing is too much in a country like India, where the scale and magnitude of problems are always challenging. A report by SBI Research in early January said the Emergency Credit Line Guarantee Scheme (ECLGS) launched by the government in 2020 to provide relief to MSMEs impacted by the pandemic saved 1.35 million firms from going bankrupt and, consequently, 15 million jobs. This scheme was the biggest fiscal component of the Rs 20 lakh crore Aatmanirbhar Bharat Abhiyaan package announced by the Centre in May 2020. However, anecdotal stories from MSMEs from across India still reveal immense distress—firms are grappling with weak demand, high absenteeism among workers due to Covid infections and narrowed profit margins due to rising material costs. But the extent of the pain is not easy to gauge without sufficient data. The Centre has said it does not have data on MSMEs that were forced to close as a result of the pandemic. At the same time, measures aimed at the poor, including the PM Kisan scheme, have helped mitigate the suffering of those impacted the most by the pandemic. As many as 59.7 per cent of those polled believed that the Centre gave enough relief to those hit by the Covid crisis through funds and other measures, while 31.3 per cent did not think so.

While MSMEs struggled, several big businesses were able to stay afloat by pruning costs, especially on travel and remuneration. Such measures, alongside lower corporate taxes, meant better profitability for big businesses despite Covid-related disruptions. In fact, some of the biggest announcements of new projects came from a few large corporates, who also rode the commodity cycle boom. As many as 47.7 per cent of respondents say that big businesses were the biggest beneficiaries of the NDA government's economic policies, with only 7.6 per cent thinking that small businesses were helped the most. Significantly, only 11.6 per cent of those polled believe that farmers have benefited the most from the Modi government's economic policies. This comes against the backdrop of the stiff resistance from farmers against the farm reforms, which forced the Centre to repeal them last year. The unorganised sector, which bore the brunt of

Q. HOW HAS COVID-19 AFFECTED YOUR ECONOMIC STATUS?



Q. DO YOU THINK THE MODI GOVT. GAVE ENOUGH FUNDS AND TOOK OTHER MEASURES TO COUNTER THE ADVERSE ECONOMIC FALLOUT CAUSED BY COVID?

